Eli Lilly Committee Memo

Eli Lilly (NYSE: LLY) — Committee Memorandum

Recommendation: Watch / defer; do not initiate today. The modeled low/base/high DCF range is generated in output/model-output.md. It should be evaluated against the preserved September 9, 2026 close of $1,124.21, not mistaken for a point target. The decision horizon is 12 months; the model projects FY2026–FY2030.

Decision evidence

Lilly's FY2025 revenue was $65.179bn, with Mounjaro ($22.965bn) and Zepbound ($13.542bn) comprising a concentrated $36.507bn starting franchise. The base case does not simply carry forward 45% company growth. It explicitly separates cardiometabolic volume growth, realized-price pressure, and non-cardiometabolic revenue. It assumes volume growth decelerates from 32% to 12%, price declines of 3% to 2%, and other revenue growth decelerating from 7% to 3%. This is constructive on demand but deliberately less aggressive than the latest historical growth.

Margins normalize from 83.0% gross margin to 81.0% by 2030 while R&D, selling/administrative investment, working capital, and manufacturing capex remain material. The high case assumes better volume, less price pressure, and a lower WACC; the low case assumes slower volume, more price pressure, lower margins, higher investment needs, 9.5% WACC, and 2.5% terminal growth. These cases are causal rather than arbitrary valuation overlays.

Valuation and method disagreement

The FCFF DCF is the primary method because it is built on the operating forecast and explicitly bridges enterprise value to equity: EV + cash – debt, divided by diluted shares. Its terminal-value share is reported because it is a material fragility. The output includes a WACC/growth grid and a market-implied terminal-growth diagnostic rather than disguising the valuation gap.

The peer P/E reference from the prior LLY lab is $493–$631 per share (median $562) versus the preserved $1,124.21 price, using AMGN and GILD FY2025 reported GAAP diluted EPS. It is an equity-value method. The observed LLY EV/revenue multiple is 16.52x using the Edition A synthetic enterprise value and FY2025 revenue, an enterprise-value measure. These methods disagree because peers have slower growth and different portfolio concentration while the DCF depends on Lilly-specific cardiometabolic cash conversion. I do not average them.

Conditions, monitoring, and reversal triggers

Remain on watch until updated filed results support durable growth, margins, and cash conversion sufficient to narrow the valuation gap. Revisit initiation only if (1) price enters the defended DCF range without a deterioration in franchise economics, or (2) new source-supported evidence supports a substantially higher sustainable FCFF trajectory and passes the same low-case stress.

Escalate or move to do-not-initiate if Mounjaro/Zepbound volume materially misses the model path, realized-price/rebate pressure exceeds the low-case path, gross margin falls below the low-case path, capex/debt needs exceed the articulated financing schedule, or competition/patent/regulatory outcomes impair the terminal franchise. The decision reverses only on evidence, not a mechanical averaging of methods.

Material limitations

The enterprise-to-equity bridge uses FY2025 cash and debt and an EPS weighted-average diluted share count while the preserved market close is later. That is a timing limitation, not a hidden claim of date consistency. In the forecast, debt remains at its FY2025 level and cash is the residual of articulated operating and investing flows; the capital-allocation convention must be replaced with management's actual financing evidence when available. No control transaction is used because a time-, synergy-, and control-comparable transaction was not qualified.